

Meridian & Associates LLP

Global Professional Services

Environmental, Social & Governance Report

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Meridian & Associates LLP

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1. Message from the Global Managing Partner

Sustainability is not a peripheral initiative at Meridian -- it is central to how we operate, advise our clients, and invest in the future. In FY2025, we accelerated our commitments across every dimension of ESG, from reducing our operational carbon footprint to deepening our community investment. This report provides a transparent account of our progress, grounded in data and aligned to the frameworks our stakeholders expect.

I am particularly proud that we achieved our interim 2025 emissions reduction target one year ahead of schedule, and that our community investment exceeded \$45 million for the first time. As we look toward our net-zero by 2040 commitment, we recognize that the hardest work lies ahead -- particularly in addressing Scope 3 emissions across our value chain. We are committed to this journey with the same rigor we bring to our client engagements.

This year we have also taken important steps to strengthen our reporting: our Scope 1, 2, and 3 emissions data has received limited assurance from Whitfield & Crane LLP for the first time, our TCFD disclosures now include quantitative scenario analysis, and we have begun formal readiness assessments for the EU Corporate Sustainability Reporting Directive (CSRD) and ISSB standards. I invite you to review this report as evidence of our commitment to accountability.

2. Climate Commitments and Net-Zero Pathway

Meridian's climate strategy is anchored in Science-Based Targets initiative (SBTi) validated goals:

- Net-Zero by 2040 -- Full value chain (Scopes 1, 2, and 3), 10 years ahead of the Paris Agreement timeline.
- Interim Target (2030) -- 50% absolute reduction in Scope 1 and 2 emissions from a 2019 baseline; 30% reduction in Scope 3 emissions intensity per dollar of revenue.
- FY2025 Progress -- Scope 1 and 2 emissions reduced by 42% from 2019 baseline (on track for 50% by 2030). Scope 3 intensity reduced by 19%.
- Carbon Removal -- Committed to investing \$15 million in permanent carbon removal technologies (direct air capture, enhanced weathering) between 2025 and 2030.
- Internal Carbon Price -- \$85/tCO₂e shadow price applied to all capital investment decisions exceeding \$1 million since January 2025.

3. Emissions Data (Scope 1, 2, and 3)

3.1 Scope 1 -- Direct Emissions

Total Scope 1 emissions in FY2025: 8,400 tCO₂e (down from 14,200 tCO₂e in 2019).

- Natural gas for heating: 4,100 tCO₂e
- Company-owned/leased vehicles: 2,800 tCO₂e
- Diesel generators (backup power): 900 tCO₂e
- Refrigerants: 600 tCO₂e

3.2 Scope 2 -- Purchased Energy (Market-Based)

Total Scope 2 emissions in FY2025: 18,600 tCO₂e (down from 38,900 tCO₂e in 2019).

- 78% of global offices now run on certified renewable electricity (via PPAs, green tariffs, and unbundled RECs).
- 100% renewable electricity achieved in all Americas and EMEA offices.
- APAC transitioning: 52% renewable, with full conversion targeted by 2028.

3.3 Scope 3 -- Value Chain Emissions

Total Scope 3 emissions in FY2025: 312,000 tCO₂e. Major categories:

- Business travel (Category 6): 148,000 tCO₂e (47% of Scope 3) -- reduced 28% from 2019 via virtual-first engagement model and sustainable travel policy.
- Purchased goods and services (Category 1): 89,000 tCO₂e (29%)
- Employee commuting (Category 7): 42,000 tCO₂e (13%)
- Capital goods (Category 2): 18,000 tCO₂e (6%)
- Other categories: 15,000 tCO₂e (5%)

3.4 Year-over-Year Emissions Trend (tCO₂e)

The following table summarizes emissions across all scopes from the 2019 baseline through FY2025, demonstrating consistent year-over-year reductions:

- FY2019 (Baseline): Scope 1: 14,200 | Scope 2: 38,900 | Scope 3: 410,000 | Total: 463,100
- FY2020: Scope 1: 12,800 | Scope 2: 35,200 | Scope 3: 348,000 | Total: 396,000 (-14.5%)
- FY2021: Scope 1: 11,600 | Scope 2: 31,100 | Scope 3: 355,000 | Total: 397,700 (+0.4%)
- FY2022: Scope 1: 10,500 | Scope 2: 27,400 | Scope 3: 340,000 | Total: 377,900 (-5.0%)
- FY2023: Scope 1: 9,600 | Scope 2: 23,800 | Scope 3: 328,000 | Total: 361,400 (-4.4%)
- FY2024: Scope 1: 9,000 | Scope 2: 21,100 | Scope 3: 320,000 | Total: 350,100 (-3.1%)
- FY2025: Scope 1: 8,400 | Scope 2: 18,600 | Scope 3: 312,000 | Total: 339,000 (-3.2%)

Cumulative reduction from baseline: Scope 1 and 2 combined down 49.1%; Scope 3 down 23.9%; total emissions down 26.8%. The firm is on track to meet or exceed all 2030 interim targets.

4. Scope 3 Supplier Engagement

Addressing Scope 3 emissions -- which represent 92% of our total footprint -- requires deep engagement with our supply chain. Meridian's Supplier Climate Program sets aggressive targets for tier-1 supplier decarbonization:

- 80% of tier-1 suppliers by spend committed to SBTi-validated targets by 2028 (currently 62%).
- 100% of tier-1 suppliers by spend required to disclose Scope 1 and 2 emissions annually by 2027 (currently 86%).
- 50% of tier-1 suppliers by spend required to disclose material Scope 3 categories by 2029.
- Quarterly supplier scorecards track emissions intensity, renewable energy adoption, and SBTi commitment status.
- Supplier Climate Academy -- Free training program launched in 2024 to help SME suppliers develop carbon accounting capabilities; 340 suppliers enrolled to date.
- Contractual levers: New and renewed contracts above \$500K include a climate commitment clause requiring SBTi commitment within 24 months or demonstration of equivalent decarbonization plan.
- Collaborative reduction pilots: Joint decarbonization initiatives with top 20 suppliers by spend, targeting 15% average emissions reduction in shared value chain activities by 2027.

5. TCFD Climate Risk Scenario Analysis

In alignment with the Task Force on Climate-related Financial Disclosures (TCFD) recommendations, Meridian conducted its first quantitative climate risk scenario analysis in FY2025, examining both physical and transition risks under three scenarios drawn from the Network for Greening the Financial System (NGFS) framework.

5.1 Physical Risks

Physical risk assessment covered all 127 office locations and 11 delivery centers. Key findings under a high-warming scenario (NGFS Current Policies, ~3 degrees C by 2100):

- Acute risks: 18 offices in high-exposure zones for flooding (coastal or riverine), including Mumbai, Manila, Houston, and Jakarta. Estimated incremental annual property damage and business interruption cost: \$4.2-\$6.8 million by 2040.
- Chronic risks: 22 offices exposed to extreme heat stress (>35 degrees C wet-bulb days >20/year by 2050), affecting outdoor commuting and data center cooling costs. Estimated incremental annual cooling costs: \$1.8-\$3.1 million by 2040.
- Adaptation measures: Flood resilience upgrades at high-risk locations (completed for Mumbai and Manila); geographic diversification of delivery centers; enhanced BCDR triggers for climate events.

5.2 Transition Risks

Transition risk assessment focused on regulatory, market, and reputational factors under an orderly transition scenario (NGFS Net Zero 2050):

- Regulatory: Carbon pricing in key jurisdictions (EU CBAM, potential U.S. carbon fee) could increase travel and procurement costs by \$8-\$14 million annually by 2030.
- Market: Client demand shift toward low-carbon advisory services; estimated \$200-\$400 million revenue opportunity in climate transition advisory, sustainable finance, and ESG assurance by 2028.
- Reputational: Increasing client RFP requirements for verified emissions data; failure to meet stated targets could result in exclusion from procurement shortlists for 15-20% of pipeline.
- Technology: Transition to electric fleet and sustainable business travel estimated at \$12 million capital investment through 2030, with \$3 million annual operating savings from 2031.

6. Water Consumption and Waste Diversion

6.1 Water Stewardship

While Meridian's operations are not water-intensive, we recognize our responsibility to minimize consumption and manage water risk across our facility portfolio:

- Total water consumption FY2025: 485,000 cubic meters across all global offices and data centers.
- Water intensity: 7.1 cubic meters per employee per year (down 12% from FY2022 baseline of 8.1 cubic meters).
- Data center water usage effectiveness (WUE): 1.3 L/kWh (industry benchmark: 1.8 L/kWh). Achieved through free-air cooling in Chicago and London data centers.
- Water-stressed locations: 14 offices identified in high or extremely high water-stress areas (per WRI Aqueduct). These offices have implemented rainwater harvesting, greywater recycling, and low-flow fixtures, reducing

consumption by 28% on average.

- Target: 20% reduction in water intensity per employee by 2028 from FY2022 baseline.

6.2 Waste Diversion

Meridian is committed to zero waste to landfill across all major offices by 2030:

- Total waste generated FY2025: 2,840 metric tons (down from 4,100 metric tons in FY2019).
- Landfill diversion rate: 78% (target: 90% by 2028, 100% by 2030).
- E-waste: 100% of IT hardware processed through certified R2/e-Stewards recyclers. 14,200 devices responsibly recycled in FY2025.
- Construction waste: All office fit-outs require minimum 85% waste diversion per Meridian's Sustainable Fitout Standard.
- Single-use plastics: Eliminated from all offices and firm-sponsored events since 2023.
- Paper consumption: 42 metric tons in FY2025, down 71% from 2019 baseline through digital-first policies and default duplex printing.

7. Energy and Office Operations

- 78% of offices certified renewable electricity; target 100% by 2028.
- LEED/BREEAM certified office space: 62% of global square footage.
- Smart building systems deployed in 34 major offices, reducing HVAC energy by 22%.
- Total energy consumption FY2025: 142,000 MWh (down 18% from FY2019 baseline of 173,000 MWh).
- Energy intensity: 2.09 MWh per employee (down from 2.50 MWh in FY2019).
- On-site solar installations at 8 offices generating 3,200 MWh annually.
- LED lighting retrofit: 94% of global office space converted; remaining 6% scheduled for FY2026.

8. Third-Party Assurance

Meridian believes that credible ESG reporting requires independent verification. Beginning with FY2025 data, we have engaged Whitfield & Crane LLP (acting independently of any advisory relationship) to provide external assurance over our emissions disclosures:

- Scope 1 and 2 emissions: Limited assurance engagement in accordance with ISAE 3410 (Assurance Engagements on Greenhouse Gas Statements). Opinion: Unqualified.
- Scope 3 emissions (Categories 1, 6, and 7, representing 90% of Scope 3): Limited assurance in accordance with ISAE 3000 (Revised). Opinion: Unqualified.
- The assurance report is published as an appendix to the full ESG Report on meridianllp.com.
- Roadmap to reasonable assurance: Meridian plans to transition from limited to reasonable assurance for Scope 1 and 2 emissions by FY2027, and for material Scope 3 categories by FY2029, in anticipation of mandatory assurance requirements under the EU CSRD.
- Internal controls: The ESG data collection process is integrated into the firm's SOX-equivalent internal control framework, with documented data flows, control owners, and quarterly reviews.

9. Human Rights and Modern Slavery Compliance

Meridian is committed to respecting human rights across our operations and value chain, consistent with the UN Guiding Principles on Business and Human Rights (UNGPs) and the OECD Guidelines for Multinational Enterprises.

9.1 Human Rights Due Diligence

- Human Rights Impact Assessment (HRIA) conducted biennially; most recent assessment completed September 2025 covering all operations and tier-1 supply chain.
- Salient human rights issues identified: labor rights in extended supply chain (facilities management, IT hardware manufacturing), data privacy and surveillance risk in technology deployments, and working conditions in offshore delivery centers.
- Remediation: All identified risks have documented mitigation plans with assigned owners and quarterly progress tracking. Zero substantiated human rights grievances in FY2025.
- Grievance mechanism: Accessible to all workers and affected communities via the Ethics Hotline (24/7, 18 languages) and a dedicated human rights inbox (humanrights@meridianllp.com).

9.2 Modern Slavery Statement

- Annual Modern Slavery Statement published in compliance with the UK Modern Slavery Act 2015 (Section 54) and the Australian Modern Slavery Act 2018.
- Supply chain risk assessment: All suppliers in high-risk geographies and sectors undergo enhanced due diligence, including on-site audits for facilities management and hardware suppliers.
- Training: 100% of procurement staff (240 professionals) completed modern slavery awareness training in FY2025. Mandatory annual refresher.
- Contractual provisions: All supplier contracts include anti-slavery and anti-trafficking clauses with right-to-audit provisions and immediate termination for non-compliance.
- FY2025 outcomes: 12 enhanced audits conducted; 2 suppliers placed on remediation plans; zero instances of forced labor or human trafficking identified.

10. Employee Wellbeing, Health and Safety

The health, safety, and wellbeing of our 68,000+ professionals is a fundamental responsibility. Meridian's Global Wellbeing Program encompasses physical safety, mental health, and holistic employee support.

10.1 Health and Safety Data

- Lost-Time Injury Rate (LTIR): 0.04 per 200,000 hours worked (industry average for professional services: 0.10). Zero work-related fatalities since firm inception.
- Total Recordable Incident Rate (TRIR): 0.12 per 200,000 hours worked.
- Near-miss reports: 342 submitted in FY2025 (up 28% YoY, reflecting improved reporting culture). 92% resulted in preventive actions within 30 days.
- Ergonomic assessments: Completed for 100% of office-based and remote workers. 4,200 workstation modifications made in FY2025.
- Travel safety: 24/7 global travel risk management through International SOS; real-time alerts and evacuation

support for all traveling professionals.

10.2 Mental Health and Wellbeing Programs

- Employee Assistance Program (EAP): Free, confidential counseling available 24/7 in 18 languages. Utilization rate: 14.2% in FY2025 (up from 9.8% in FY2023, reflecting reduced stigma).
- Mental Health First Aiders: 1,200 trained volunteers across all offices (target: 1 per 50 employees by 2027).
- Burnout prevention: Mandatory project-end downtime of 5 business days for engagements exceeding 12 weeks. Average annual utilization rate monitored at service line level.
- Wellbeing days: Four additional paid wellbeing days per year (beyond standard PTO) introduced in FY2024. 89% utilization in FY2025.
- Digital wellbeing: Firm-wide license for Headspace and access to virtual therapy via Spring Health. 38% active monthly users.
- Manager training: Mandatory 'Leading with Wellbeing' module for all people managers. 96% completion rate in FY2025.
- Annual Wellbeing Survey: 82% participation rate; overall wellbeing score: 7.4/10 (up from 6.9/10 in FY2023).

11. Community Investment and Social Impact

In FY2025, Meridian invested \$45.2 million in community initiatives, comprising \$28.1 million in direct grants and sponsorships, \$9.4 million in pro bono professional services (representing 142,000 hours), and \$7.7 million in employee volunteer time (98,000 hours).

- Meridian Foundation -- Awarded 340 grants totaling \$18.5 million to nonprofit organizations focused on education, economic mobility, and environmental justice.
- Skills for Tomorrow -- Free digital skills training delivered to 28,000 individuals in underserved communities across 15 countries.
- Disaster Response -- Deployed rapid-response advisory teams to support recovery from 6 natural disasters, contributing \$3.2 million in cash and services.
- Pro Bono Program -- 2,400 professionals contributed 142,000 hours of pro bono work to 280 nonprofit and social enterprise clients.

12. Sustainable Procurement

Meridian's Sustainable Procurement Policy requires all suppliers with contracts exceeding \$500,000 annually to complete a sustainability assessment, disclose Scope 1 and 2 emissions, and commit to science-based reduction targets within two years of engagement. In FY2025:

- 86% of tier-1 suppliers (by spend) completed sustainability assessments.
- 62% of tier-1 suppliers have committed to or achieved SBTi validation.
- Introduced a Sustainable Supplier Preferred List, with 5% procurement price preference for verified sustainable suppliers.
- Sustainable procurement spend: \$285 million (22.5% of addressable procurement), exceeding our FY2025 target of 20%.

13. CSRD, ISSB, and ESRS Readiness

With the EU Corporate Sustainability Reporting Directive (CSRD) requiring compliance from FY2026 for large undertakings, and the International Sustainability Standards Board (ISSB) standards (IFRS S1 and S2) being adopted by multiple jurisdictions, Meridian has launched a comprehensive readiness program to ensure our own reporting meets evolving requirements and to build advisory capacity for our EMEA clients.

- CSRD scope: Meridian's EU entities (covering 8,400 professionals across 16 countries) fall within scope. A dedicated CSRD Program Office was established in Q1 2025, led by the Chief Sustainability Officer.
- Double materiality assessment: Completed in Q3 2025 in accordance with EFRAG guidance. 14 material topics identified across environmental, social, and governance dimensions.
- ESRS mapping: Gap analysis completed against all applicable European Sustainability Reporting Standards (ESRS). Data collection processes being enhanced for ESRS E1 (Climate), S1 (Own Workforce), and G1 (Business Conduct) -- the three highest-priority standards.
- ISSB alignment: Voluntary early adoption of IFRS S2 (Climate-related Disclosures) in our FY2026 reporting cycle. Scenario analysis (Section 5) already meets IFRS S2 requirements.
- Data infrastructure: Invested \$8.5 million in ESG data management platform (Workiva) to automate data collection, audit trails, and reporting across CSRD, ISSB, GRI, and CDP frameworks.
- Advisory capability: 320 professionals across Risk & Compliance and Advisory service lines trained and certified in CSRD/ESRS advisory. Over 45 CSRD readiness engagements delivered to EMEA clients in FY2025.

14. Governance and Reporting Frameworks

- Task Force on Climate-related Financial Disclosures (TCFD) -- Fully aligned since 2023; quantitative scenario analysis added in FY2025 (see Section 5).
- Global Reporting Initiative (GRI) Standards -- Report prepared in accordance with GRI 2021.
- UN Sustainable Development Goals -- Mapped initiatives to SDGs 4, 5, 8, 10, 12, 13, and 17.
- CDP Climate Change -- Scored A- in 2025 disclosure (up from B in 2023).
- SASB Standards -- Professional & Commercial Services industry standard disclosures included.
- UN Global Compact -- Advanced-level participant; Communication on Progress submitted annually.
- ESG Committee of the Board of Partners -- Meets quarterly; chaired by the Chief Sustainability Officer with direct reporting to the Global Managing Partner.
- Executive compensation linkage: 15% of partner variable compensation tied to DEI, ESG, and people development metrics, of which ESG performance accounts for approximately one-third.